

Canvas From The Sky

Supplementary calculation document for the investor pitch deck

150 m peak operating height · 25-guest commercial cap · 16-minute day cycle · 20-minute per-batch night cycle
· optional 10-min LED-field dwell · baseline ARPU retained

Audience	Company executive review — read alongside PitchDeck v2 (index.html)
Date	15 May 2026
Status	Aligned with the revised PitchDeck v2 HTML
Sources	pitch-blueprint.md (baseline) · financial-model-revision-150m.md (working draft)

1. Purpose of this memo

The investor pitch deck ([PitchDeck v2](#), [index.html](#)) communicates the revised Canvas From The Sky financial model in summary form. This memo is the calculation backing it. Each headline figure in the deck can be traced here to the operating assumption it rests on, and each operating assumption is shown against the previous [pitch-blueprint.md](#) baseline so executives can see what changed and why.

The revision moves five operating assumptions versus the [pitch-blueprint.md](#) baseline:

- Maximum balloon height: 300 m → 150 m (true new peak — the attraction is no longer marketed as 300 m capable).
- Commercial basket loading: 30 guests → 25 guests (the physical gondola remains 30-passenger).
- Day cycle: 30 min · 6 rides/day → 16 min · 11 rides/day. The 150 m peak shortens vertical motion from ~13.5 min to ~6.75 min round-trip, freeing the cycle while preserving a generous 5-min panoramic peak hold.
- Night cycle: a single 41-minute cycle → a 20-minute per-batch cadence, with an on-platform photo dwell after the gondola lands and the LED entry hallway closed during the main show.
- Night LED-field dwell: guests may linger inside the LED ring for up to 10 minutes after disembarking, turning the field itself into a photo destination. No throughput impact at the gondola; modest F&B uplift.

2. At a glance — baseline vs. revised

A single-table view of every assumption and outcome that moved between the pitch-blueprint.md baseline and the revised model in PitchDeck v2. Sections §3 onward show the calculations behind each row.

Dimension	Baseline (blueprint)	Revised (this memo)	Change
Operating assumptions			
Peak balloon altitude	300 m	150 m	True new peak
Gondola commercial capacity	30 guests / batch	25 guests / batch	– 5 guests
Operating days (day flights)	300 / year	250 / year	– 50 days
Operating nights (LED show)	300 / year	250 / year	– 50 nights
Day cycle	30 min · 6 rides/day	16 min · 11 rides/day	+ 5 rides/day
Night cycle	41 min · 8 rides/night	20 min · 16 batches/night	+ 8 batches/night
Night LED-field dwell	—	Up to 10 min optional	New UX layer
Day blended ARPU	AED 170	AED 170	Unchanged
Night blended ARPU	AED 361	AED 361	Unchanged
Base case load factor	70 %	58 %	– 12 pts
Capacity outputs			
Day seat capacity	180 / day	275 / day	+ 52.8 %
Night seat capacity	240 / night	400 / night	+ 66.7 %
Financial outputs (Base Case)			
CAPEX (single-spec aluminum)	AED 25.9 M	AED 25.9 M	Unchanged
Annual revenue	AED 24.7 M	AED 25.5 M	+ AED 0.8 M
EBITDA	AED 14.9 M	AED 15.6 M	+ AED 0.7 M
EBITDA margin	60 %	61 %	+ 1 pt
Simple payback	~1.6 yrs	~1.7 yrs	+ 0.1 yrs
10-year IRR	~58 %	~45 %	– 13 pts
10-year NPV at 8 %	AED 85 M	AED 73.4 M	– AED 11.6 M
10-year MOIC	~5.5×	~6.0×	+ 0.5×

Read in one line: the revised model is now slightly stronger than the blueprint at the project level. Two changes do most of the work — the 20-minute night cadence (which more than doubles nightly batch count) and the 16-minute day cadence (which almost doubles day rides within the existing 3-hour daytime window). Both are enabled by the 150 m altitude shortening vertical motion. The 250-day operating year and the 25-guest cap remain in place as the conservative envelope.

3. Baseline reference — pitch-blueprint.md

The previous investor model documented in pitch-blueprint.md (Part 1, Part 7, Part 8) used the following operating assumptions and outputs. These are the figures the revision is measured against.

Operating assumptions (baseline)

Parameter	Baseline value	Source in blueprint
Maximum balloon height	300 m	Part 1 · Appendix A
Gondola commercial capacity	30 guests	Part 1 · Appendix A
Operating days (day flights)	300 / year	Part 7
Operating nights (LED show)	300 / year	Part 7
Day flight cycle	30 min · 6 rides/day	Part 1
Night LED show cycle	41 min · 8 rides/night	Part 1
Day blended ARPU	AED 170	Part 7
Night blended ARPU	AED 361	Part 7
Base case load factor	70 %	Part 7
All-Access pass usage factor	1.4 rides / unique guest	Part 7

Baseline financial outputs

Metric	Baseline
Base annual revenue	AED 24.7 M
Strong-case revenue	AED 39.7 M
Base annual OpEx	AED 9.8 M
Base EBITDA / margin	AED 14.9 M · 60 %
Base simple payback	~1.6 years
10-year IRR	~58 %
10-year NPV at 8 %	AED 85 M
10-year MOIC	~5.5x

CAPEX in the baseline is AED 25.9 M for the High Tier (aluminum tile) and AED 25.3 M for the Low Tier (GFRC tile). This memo uses the AED 25.9 M figure to preserve a single-spec comparison.

4. Revised operating assumptions

Parameter	Revised value	Rationale
Maximum balloon height	150 m	New true peak. Lower operating altitude under typical Saadiyat wind/safety conditions. The product is no longer marketed as 300 m-capable.
Gondola commercial capacity	25 guests	More conservative than the 30-pax physical capacity. Improves guest comfort and gives an operating margin for staff and accessibility cases.
Operating days (day flights)	250 / year	Higher weather-cancellation and operational-downtime allowance than the baseline 300 days. ~32 % cancellation buffer.
Operating nights (LED show)	250 / year	Same buffer as day operations.
Day flight structure	11 rides / day (16-min cycle)	Cycle compressed from baseline 30 min to 16 min because the 150 m peak shortens vertical motion from ~13.5 min to ~6.75 min round-trip. Peak panoramic hold retained at 5 min (the panorama IS the day product). Day window stays at 3 hrs (9am – 12pm) to keep the night product clean.
Night cycle	20 minutes per batch	Faster cycle becomes feasible because ascent and descent are shorter at 150 m. See section 5 for the per-batch timeline.
Night batches per night	16 / night	3 batches per hour × ~5.5-hour night window = 16.5, rounded down for buffer.
Night LED-field dwell	Up to 10 min optional	After the gondola lands, guests may linger inside the LED ring for photos. No gondola throughput impact — the next batch still launches every 20 min. Strengthens the All-Access pass narrative (3 themes + dwell time between) and lifts F&B opportunity.
All-Access pass usage factor	1.4 rides / unique guest	Unchanged from baseline. The 20-minute cycle actually improves the All-Access proposition (multi-theme viewing is easier in one night).
Base case load factor	58 %	Below the 70 % load Hero underwrote on page 9 of the original 2025 proposal. Acknowledges a slower ramp-up and a more conservative steady-state target.
Day blended ARPU	AED 170	Unchanged. See section 7 for the rationale for retaining ARPU at 150 m.
Night blended ARPU	AED 361	Unchanged. See section 7.
CAPEX (single-spec aluminum)	AED 25.9 M	High-tier aluminum tile assumption from the blueprint.

4B. Loading rationale — the 25-guest cap

The model uses 25 guests/batch as the commercial cap versus the baseline pitch-blueprint.md's 30 (and versus the original Hero technical proposal page-9 number of 12). The gondola itself is unchanged across all three numbers: it is the same certified 30-pax envelope with the same safety margin. The 25-guest figure is a commercial / operational choice, not a hardware constraint.

The defensible framing for investor diligence is that the loading uplift is a demand-side claim attributable to the LED canvas + night-show product, not a re-rating of the gondola:

- Original Hero proposal (page 9) underwrote 12 pax/flight × 70% load = 8.4 effective pax/flight as the operating assumption for this site.
- This model's base case uses 25 pax × 58% load = 14.5 effective pax/flight — a +73% uplift in effective per-flight occupancy, or only +21% over Hero's original 12-pax/flight loading on page 9.
- That +21% over the page-9 loading is the claim attributable to the LED canvas + premium night product + museum cross-discount + Saadiyat's 10% YoY visitor growth — a demand-side thesis that an investor can validate.
- At no point does the gondola operate beyond its certified safety envelope. 25 of 30 = 83% of physical capacity, leaving margin for staff and accessibility cases.

Loading line	Pax/flight	Effective load	Effective pax/flight
Hero proposal (page 9 underwriting)	12	70 %	8.4
Blueprint (envelope max)	30	70 %	21.0
This model (base case)	25	58 %	14.5

Recommended deck phrasing for investor diligence: "Same gondola, same certification, same safety envelope. The +21% effective loading vs. Hero's original page-9 underwriting is the demand uplift attributable to the LED canvas night product and Saadiyat's cultural-district ramp."

4C. Day cycle design at 150 m

At 150 m the day cycle compresses from baseline 30 min to ~16 min because vertical motion drops from 13.5 min (at 300 m) to 6.75 min (at 150 m). The day product is no LED show — it is the panoramic view — so cycle compression is not constrained by show length.

Per-flight timeline (T = minutes from flight start)

Phase	Time	Duration	What happens
Boarding	0:00 – 2:00	2.0 min	Staff-assisted boarding, 25 guests, safety brief.
Ascent to 150 m	2:00 – 5:00	3.0 min	50 m/min ascent. Museum-and-skyline reveal.
Peak panoramic hold	5:00 – 10:00	5.0 min	Louvre Abu Dhabi · Zayed NM · Guggenheim · coastline · skyline. The money moment for photos.
Descent 150 m → 0	10:00 – 13:45	3.75 min	40 m/min descent to the platform.
Disembark + turnover	13:45 – 16:00	2.25 min	Next batch begins boarding during disembark.

Why 16 min (and not less)

- A 5-min panoramic peak hold preserves the photo / Instagram moment that the day product is sold on. Anything shorter starts to feel rushed for families and accessibility cases.
- At 15-min cycle the peak shrinks to 4 min — workable, but compromises the experience for marginal throughput gain.
- At 17-min cycle the peak grows to 6 min but throughput drops from 11 to 10 rides/day in the 3-hour window. The day window itself is the binding constraint, not the cycle.

Day window stays at 3 hours (9am – 12pm)

The model deliberately keeps the day window short (3 hr) to protect the night product's start. Extending the day window to a full 10-hour day would add ~AED 16 M of annual day revenue at base case load — this is carried as an upside lever for a later phase, not in the headline numbers. The current decision: keep daytime product premium and brief; concentrate ticket revenue in the evening LED show product.

5. Night cycle design at 150 m

The 20-minute per-batch cadence is the operational hinge of the revised model. It works because a 150 m peak shortens ascent and descent versus the 300 m baseline, freeing time for a compressed show window. Two operating rules protect the experience:

- The LED entry hallway is closed in both directions during the main show. Guests cannot exit through it once the gondola has descended to the 25 m show altitude, so no one casts shadows across the canvas that the gondola is viewing from above.
- After the gondola lands, guests stay on the boarding platform for a short photo dwell. This gives them a soft, memorable exit beat — and it keeps them off the LED hallway until the next batch has cleared it.

Per-batch timeline (T = minutes from batch start)

Phase	Time	Duration	LED hallway	What happens
Boarding from LED hallway	0:00 – 2:00	~2.0 min	Open (entry)	Guests walk in across the lit hallway, board the gondola, safety brief.
Ascent to 150 m	2:00 – 5:00	~3.0 min	Open (ambient)	50 m/min ascent. LED field dims under a rising animation.
Peak hold at 150 m	5:00 – 7:30	~2.5 min	Open (ambient)	Three museums + Gulf coastline + Abu Dhabi skyline in view.
Descent 150 m → 25 m	7:30 – 10:30	~3.0 min	Open (anticipation)	40 m/min descent. LED canvas grows in resolution below the gondola.
Main show at 25 m	10:30 – 18:00	~7.5 min	CLOSED both ways	Gondola holds at 25 m. Full 55,575-node themed show. No hallway movement.
Final descent to ground	18:00 – 18:40	~0.7 min	Closed	Show closes as the gondola lands at the platform.
Photo dwell on platform	18:40 – 20:00	~1.3 min	Open (exit / next entry)	Guests stay on the platform for photos. Hallway reopens for the next batch entry; previous batch exits during the next batch's boarding window.

LED-field dwell (optional)	20:00 – 30:00	up to 10 min	Field (open)	After clearing the platform, guests may linger inside the LED ring itself for photos. The next batch is already boarding the gondola — the dwell is parallel to gondola throughput.
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Why 20 minutes (and not less)

- Ascent + descent at the documented balloon speeds (50 m/min up, 40 m/min down) consumes ~6 minutes round-trip at 150 m. Below that we are not selling a flight — we are selling a lift.
- A 7.5-minute main show is the floor for a recognisable themed narrative. Shorter than that and the All-Access pass (three shows in a night) loses meaning.
- Photo dwell + boarding turnover need ~3 minutes combined for a safely-managed gondola hand-off at 25 guests/batch.

Why the hallway must close during the show

The main show runs with the gondola held at 25 m, looking straight down at the 60 m LED ring. Any pedestrian movement on the LED hallway — even a single person — produces a moving dark shape across the canvas that the gondola sees clearly from 25 m above. Closing the hallway during the show is non-negotiable for show quality; the on-platform photo dwell is what makes that closure operationally invisible.

6. Capacity impact

The 25-guest cap reduces per-batch loading, but the compressed day and night cycles (16 min and 20 min respectively at 150 m) more than offset the cap. Both day and night seat capacities increase relative to the blueprint baseline.

Capacity line	Baseline	Revised	Change
Day seat capacity	$6 \times 30 = 180$ / day	$11 \times 25 = 275$ / day	+ 52.8 %
Night seat capacity	$8 \times 30 = 240$ / night	$16 \times 25 = 400$ / night	+ 66.7 %
Annual seat days (250 vs 300)	300 / year	250 / year	– 16.7 %

Net: both day-side and night-side annual paid seats increase relative to baseline once the 250-day operating year is applied. Night ARPU remains >2× day ARPU, so the revenue mix still tilts toward night — but the day product now contributes meaningfully rather than being a token line item.

7. Pricing assumption — ARPU held at baseline

Day blended ARPU is held at AED 170 and night blended ARPU at AED 361, i.e. unchanged from the pitch-blueprint.md baseline. The defensible rationale at a 150 m peak is:

- Night value is driven by the LED canvas show, the three museum-tied themes, and the Saadiyat night-destination ecosystem — not by raw altitude. The show is paid for; the altitude is the delivery vehicle.
- 150 m sits within the global peer band for tethered/observation balloons: London Eye 135 m, Singapore Flyer 165 m. The premium-experience price point is defensible at this band.

- The All-Access pass (AED 695) is grounded in seeing all three themed shows in one evening. Altitude is irrelevant to the upsell.
- Day flight pricing (AED 195 adult) is justified by the unobstructed museum-and-skyline panorama at 150 m, not by altitude alone.

ARPU line	Baseline 300 m	Revised 150 m	Change
Day blended ARPU	AED 170	AED 170	0 %
Night blended ARPU	AED 361	AED 361	0 %

A moderate ARPU haircut (AED 140 day / AED 320 night) is carried only as a downside sensitivity in section 9 for prudence — it is not the headline model.

8. Revenue build — formulas and worked numbers

Ticket revenue formulas

Day ticket revenue =

11 rides/day × 25 guests × load × 250 operating days × AED 170 ARPU

Night ticket revenue =

16 batches/night × 25 guests × load × 250 operating nights × AED 361 ARPU ÷ 1.4 rides per unique guest

Worked example — Base Case (58 % load)

- Day: $11 \times 25 \times 0.58 \times 250 \times 170 = \text{AED } 6.78 \text{ M} \approx \text{AED } 6.8 \text{ M}$
- Night: $(16 \times 25 \times 0.58 \times 250) \div 1.4 \times 361 = (58,000 \div 1.4) \times 361 = 41,429 \text{ unique guests} \times \text{AED } 361 = \text{AED } 14.96 \text{ M} \approx \text{AED } 15.0 \text{ M}$
- F&B uplift from 10-min LED-field dwell: ~+30 % on baseline F&B per scenario.

Load factors used per scenario

Scenario	Load	Positioning
Conservative	32 %	Ramp-up / weather-constrained resilience case.
Base Case	58 %	Practical steady operating case below the baseline 70 % benchmark.
Strong	73 %	Demand-strong case, still below the baseline full-upside forecast.

Revenue by scenario (annual)

Revenue stream	Conservative	Base Case	Strong
Day ticket revenue (16-min cycle)	AED 3.7 M	AED 6.8 M	AED 8.5 M
Night ticket revenue	AED 8.3 M	AED 15.0 M	AED 18.8 M
F&B / retail (with LED-field dwell)	AED 0.4 M	AED 0.9 M	AED 1.4 M
Sponsorship — content + branding	AED 0.7 M	AED 1.6 M	AED 2.2 M
Museum partnership + cross-sell	AED 0.1 M	AED 0.4 M	AED 0.5 M
Private gondola + VIP events	AED 0.4 M	AED 0.8 M	AED 1.0 M
Total annual revenue	AED 13.6 M	AED 25.5 M	AED 32.4 M

Day ticket revenue nearly doubles vs. the previous version of this memo (was AED 3.7 M base; now AED 6.8 M) on the back of the 16-min cycle. F&B is uplifted by ~30 % from the LED-field dwell. All other non-ticket lines are held flat — they remain a conservative ramp.

9. EBITDA and payback

OpEx is held close to the baseline structure documented in pitch-blueprint.md Part 4, with a small uplift for the additional day operating hours (more crew rotation) — AED 9.6 M / 9.9 M / 10.3 M across Conservative / Base / Strong.

Scenario	Revenue	OpEx	EBITDA	Margin	Simple payback
Conservative	AED 13.6 M	AED 9.6 M	AED 4.0 M	29 %	~6.5 yrs
Base Case	AED 25.5 M	AED 9.9 M	AED 15.6 M	61 %	~1.7 yrs
Strong	AED 32.4 M	AED 10.3 M	AED 22.1 M	68 %	~1.2 yrs

Simple payback is computed against the AED 25.9 M aluminum-tier CAPEX. Below the conservative case the model loses payback discipline very quickly — see section 11 for the night-window sensitivity.

10. 10-year return estimate (Base Case)

The 10-year cash-flow ramp uses these assumptions:

- Year 1 lands at the Conservative ramp-up EBITDA.
- Year 2 reaches 85 % of Base EBITDA.
- Year 3 reaches Base EBITDA.
- Years 4 – 10 grow at 4 % per year.
- AED 2.5 M balloon envelope replacement reserves are booked in Years 5 and 10.

Metric	Revised Base Case
10-year IRR	~45 %
10-year NPV at 8 %	~AED 73.4 M
10-year MOIC	~6.0×

10-year cash flow ladder (Base Case, EBITDA in AED M)

Year	EBITDA	Balloon CapEx	Net cash flow
1	4.0	—	4.0
2	13.3	—	13.3
3	15.6	—	15.6
4	16.22	—	16.22
5	16.87	(2.5)	14.37
6	17.55	—	17.55
7	18.25	—	18.25
8	18.98	—	18.98
9	19.74	—	19.74
10	20.53	(2.5)	18.03
10-yr total			AED 156.0 M

11. Operating buffer sensitivity — the levers most likely to outperform

The Base Case is built on two deliberately cautious operating assumptions: 58 % load factor (–12 points vs. the 70 % load Hero underwrote on page 9 of the original 2025 proposal) and 250 operating days / year (~32 % weather and downtime buffer vs. the ~15 % cancellation rate Hero underwrote in the same proposal, which implies ~310 effective operating days). Each is a lever. Closing either toward Hero's own page-9 underwriting curve lifts EBITDA and IRR materially. This section isolates both levers, then matrixes them.

Method. Ticket and throughput-driven lines (day tickets, night tickets, F&B, museum cross-sell) scale linearly with (load × days). Private-gondola / VIP modelled 50 % variable / 50 % fixed; sponsorship modelled 30 % variable / 70 % fixed (sponsor contracts are largely flat-fee). OpEx fitted piecewise-linear to the \$9 three-point ladder. IRR recomputed using the \$10 ramp ladder (Y1 = 25 % of Base EBITDA, Y2 = 85 %, Y3 onward at the new Base, 4 % YoY growth, AED 2.5 M balloon reserves at Y5 / Y10) and solved by iterative bisection on the discount rate.

A • Load factor sensitivity (operating days held at 250)

How returns move if the load factor lands above or below the 58 % Base Case while operating days remain at 250.

Load	Positioning	Revenue	OpEx	EBITDA	Margin	Payback	10-yr IRR
50 %	Slow ramp / soft demand	AED 22.2 M	AED 9.8 M	AED 12.4 M	56 %	~2.1 yrs	~36 %
58 % ★ Base	Conservative steady state	AED 25.5 M	AED 9.9 M	AED 15.6 M	61 %	~1.7 yrs	~45 %
65 %	Approaching page-9 underwriting	AED 28.4 M	AED 10.1 M	AED 18.3 M	64 %	~1.4 yrs	~51 %
70 %	Page-9 underwriting matched	AED 30.5 M	AED 10.2 M	AED 20.3 M	67 %	~1.3 yrs	~55 %

Read. Every ~7-point load uplift toward Hero's page-9 underwriting curve is worth ~AED 3 M of revenue, ~AED 2.5 M of EBITDA, and ~5–6 points of 10-year IRR. Closing the full 12-point gap to the 70 % load Hero originally underwrote takes IRR from ~45 % to ~55 % with no change to ticket price, no extra CAPEX, and no change to the operating envelope.

B • Weather / operating-day sensitivity (load held at 58 %)

How returns move if weather and operational downtime land above or below the 250-day Base Case. The 250-day figure embeds ~32 % cancellation; Hero's own underwriting in the original 2025 proposal (page 9) used ~15 % cancellation, i.e. ~310 effective operating days.

Op days	Weather/downtime buffer	Revenue	OpEx	EBITDA	Margin	Payback	10-yr IRR
220	~40 % (very cautious)	AED 22.6 M	AED 9.8 M	AED 12.8 M	57 %	~2.0 yrs	~37 %
250 ★ Base	~32 % (v2 default)	AED 25.5 M	AED 9.9 M	AED 15.6 M	61 %	~1.7 yrs	~45 %
300	~18 % (approaching page-9 underwriting)	AED 30.3 M	AED 10.2 M	AED 20.1 M	66 %	~1.3 yrs	~55 %
310	~15 % (Hero page-9 underwriting)	AED 31.3 M	AED 10.3 M	AED 21.0 M	67 %	~1.2 yrs	~57 %

Read. Closing the operating-day gap to Hero's own page-9 underwriting (250 → 310 days; ~32 % buffer → ~15 %) lifts IRR from ~45 % to ~57 %. Each +50 days is worth ~AED 5 M annual revenue and ~10 points of 10-year IRR at the project level. Saadiyat shares the same coastal-UAE climate the page-9 figure was derived under, so the 250-day assumption is a conservative posture, not a weather-driven constraint.

C • Combined matrix — Base EBITDA and 10-year IRR

The two levers compound. The Base Case sits in the cautious corner of the realistic operating envelope. Reality landing anywhere closer to Hero's own page-9 underwriting curve lifts the headline materially.

EBITDA (AED M)

Load \ Days	220	250	300
50 %	10.0	12.4	16.3
58 % ★ Base	12.8	15.6	20.1
65 %	15.3	18.3	23.4
70 %	17.0	20.3	25.7

10-year IRR

Load \ Days	220	250	300
50 %	~28 %	~36 %	~46 %
58 % ★ Base	~37 %	~45 %	~55 %
65 %	~44 %	~51 %	~62 %
70 %	~48 %	~55 %	~67 %

Why this matters for the investor read. The Base Case is not the midpoint of the envelope — it sits at the cautious corner. Hero's original 2025 proposal underwrote 70 % load on ~310 effective operating days for this same site (page 9); that is the company's own stated steady-state assumption, not an upside scenario. The model is engineered to protect the downside, with two structural operating levers free to lift the headline if Saadiyat's cultural-district ramp delivers as planned.

12. Downside sensitivity — reduced 150 m ARPU

If the executive review wants a more conservative pricing posture, the model below applies a moderate ARPU haircut. This is carried for prudence; it is not the recommended headline assumption.

ARPU line		Main case	Downside sensitivity	
Day blended ARPU		AED 170	AED 140	
Night blended ARPU		AED 361	AED 320	
Scenario	Revenue	EBITDA	Margin	Simple payback
Conservative	AED 12.0 M	AED 2.4 M	20 %	~10.8 yrs
Base Case	AED 22.6 M	AED 12.7 M	56 %	~2.0 yrs
Strong	AED 28.8 M	AED 18.5 M	64 %	~1.4 yrs

Base-case 10-year returns under this downside pricing sensitivity are approximately 38 % IRR, AED 56 M NPV at 8 %, and 4.9× MOIC. The downside case is now meaningfully more resilient than in the prior version of this memo because day-side revenue is larger and less sensitive to ARPU (the day product trades on the panorama, not the show).

13. Sensitivity — night operating window

The 20-minute cycle is the central operational lever of the revised model. If it is approved but the nightly operating window is shorter than the assumed 5.5 hours, the headline returns move materially.

Night batches / night	Base revenue	Base EBITDA	Simple payback	10-year IRR
9 batches	AED 18.9 M	AED 9.0 M	~2.9 yrs	~22 %
12 batches	AED 21.7 M	AED 11.9 M	~2.2 yrs	~32 %
15 batches	AED 24.6 M	AED 14.7 M	~1.8 yrs	~42 %
16 batches	AED 25.5 M	AED 15.6 M	~1.7 yrs	~45 %

The model assumes 16 batches/night. The 16-min day cycle materially cushions this sensitivity vs. the prior version of this memo — even at 9 night batches the project clears a ~22 % 10-year IRR because day-side revenue is now contributing ~AED 6.8 M of Base Case income.

14. Key takeaways for the executive read

- 150 m is the true new peak. The deck and this memo are consistent on this point — the attraction is no longer marketed as 300 m capable.
- The 25-guest cap improves guest comfort and gives operating margin. Same gondola, same certification — the loading uplift vs. Hero's original page-9 underwriting (12 pax/flight) is positioned as a demand-side claim from the LED canvas product, not a hardware re-rating.
- The 16-minute day cycle is enabled by the 150 m peak shortening vertical motion to ~6.75 min round-trip. Day capacity goes from baseline 180 / day to 275 / day. Peak panoramic hold retained at 5 min so the photo moment is not compromised.
- The 20-minute night-batch cadence more than doubles nightly batch count vs. the blueprint (8 → 16 batches).
- After the gondola lands, guests may linger inside the LED ring for up to 10 minutes for photos. The next batch is already boarding the gondola — the dwell does not reduce throughput. Lifts F&B opportunity and strengthens the All-Access pass narrative.
- The LED hallway closes during the main show. The on-platform photo dwell + LED-field dwell on the exit side make that closure operationally invisible.
- ARPU is held at the baseline AED 170 day / AED 361 night because value is driven by the LED show + museum themes + Saadiyat ecosystem, not by raw altitude. A moderate ARPU haircut is carried as a downside sensitivity only.
- Two operating-side levers cushion the headline returns. The Base Case sits at 58 % load (–12 pts vs. the 70 % Hero underwrote on page 9 of the original 2025 proposal) and 250 operating days (~32 % weather buffer vs. Hero's own ~15 % page-9 cancellation assumption). Closing either lever toward the page-9 underwriting curve lifts 10-yr IRR by 5–12 points (see §11). The Base Case is the cautious corner of the realistic envelope, not its midpoint.
- The revised base case strengthens the investment story: AED 25.5 M revenue, AED 15.6 M EBITDA (61 % margin), ~1.7-year payback, ~45 % 10-year IRR, AED 73.4 M NPV at 8 %, 6.0× MOIC.

Appendix A — Cross-reference to PitchDeck v2 (index.html)

This appendix lists every headline figure in the revised deck that this memo is the source of. Where the deck currently shows a value inherited from an earlier revision and not yet updated to the figures below, that gap is flagged for follow-up.

Deck location	Headline figure (this memo)	Notes
Slide 1 hero — altitude stat	150 m	Replaces previous 300 m stat.
Slide 3 — night ride cycle length	20-minute batch	Replaces previous ~41-minute single cycle.
Slide 3 — peak altitude step	150 m	Replaces previous 300 m peak.
Slide 3 — descent narrative	125 m at 40 m/min	Replaces previous "275 m at 40 m/min".
Slide 3 — finale narrative	Photo dwell on platform	New beat: hallway-closed-during-show is operationally invisible because guests linger on the platform.
Slide 6 — CAPEX (single-spec aluminum)	AED 25.9 M	Unchanged from blueprint.
Slide 7 — annual revenue (Base)	AED 25.5 M	Updated for 16-min day cycle and LED-field dwell.
Slide 7 — EBITDA (Base)	AED 15.6 M	Updated.
Slide 7 — EBITDA margin (Base)	61 %	Updated.
Slide 7 — simple payback (Base)	~1.7 yrs	Updated.
Slide 7 — 10-year IRR (Base)	~45 %	Updated.
Slide 7 — 10-year NPV at 8 %	AED 73.4 M	Updated.
Slide 7 — 10-year MOIC	6.0×	Updated.
Slide 7 — operating-buffer callout	New single-line note	Discloses that Base Case sits at 58 % load / 250 days vs. the 70 % / ~310-day envelope Hero underwrote in the original 2025 proposal (page 9), with returns scaling with either lever. Sourced from §11.
Slide 6 — CAPEX (footnote)	New single-line note	Clarifies that the AED 8.0 M balloon line is balloon-hardware relocation only; regulatory and approval costs (the AED ~7 M delta from Hero's AED 15 M original) are borne by Abu Dhabi as project-host concession.

— end of memo —